

# On the REBOUND

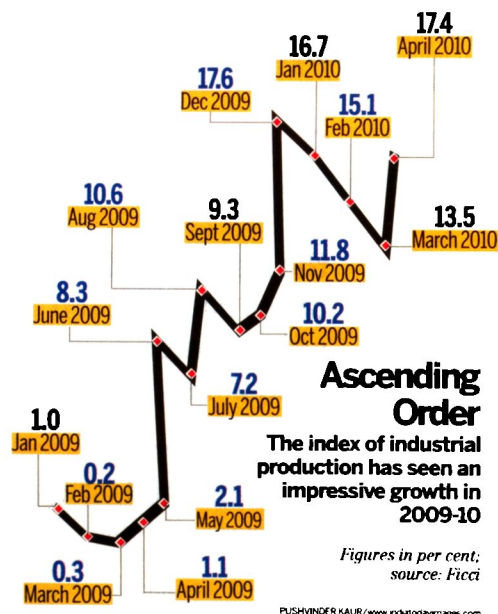
A favourable policy environment gives India Inc the confidence to revive investment and plan capacity addition across sectors

By Nivedita Mukherjee

It is the favourite mantra of policy makers, politicians and prescribing economists and it is back to driving economic growth. A sharp rebound in business activity after the 2008-09 economic slowdown has allowed India Inc to revive its pending investments and plan fresh capital expenditure, driving up GDP growth in 2009-10 to 7.4 per cent which is not only higher than the estimated 7.2 per cent but also from the 6.7 per cent growth in the previous year. "This has been possible due to a sharp recovery in the investment momentum," agrees Chandrajit Banerjee, director-general, Confederation of Indian Industry. "Industry has shown confidence in the economic recovery by stepping up its investments," he adds.

Real fixed investments rose 17.7 per cent year-on-year in the first quarter of 2010 compared to 8.8 per cent in Q4 2009, according to Sonal Varma, chief economist, Nomura. So, if Larsen & Toubro (L&T) has lined up capex of Rs 5,000 crore for ports, roads and a forging unit, LG Electronics has announced its third factory in India involving an investment of Rs 1,400 crore, SAIL's capex at Rs 10,606 crore is going on modernisation and expansion projects, and Heidelberg Cement is looking at an expansion plan of Rs 1,150 crore, to name just a few.

Indeed, investment which as a major driver of India's stunning 9 per cent growth from 2003 to 2007 grew 16.5 to 17 per cent annually only to



slow down to 3-4 per cent amid the recession, appears set for a strong comeback. The triggers: a strong industrial recovery backed by buoyant private consumption and capacity utilisation in manufacturing, particularly capital goods. Maintaining a double-digit growth rate for six months in a row, the Index of Industrial Production (IIP) grew by 17.6 per cent in April. It grew at 1.1 per cent in April 2009. The bounceback is also due to a timely stimulus package, policy initiatives like the \$11-billion funding for infrastructure and the continuing attractiveness of the Indian market despite a global gloom. Companies ranging from automobiles, capital

goods, consumer durables and infrastructure have announced capital expenditure plans of Rs 10,500 billion over the next three years, states a Crisil study. Many more are poised to begin a new cycle of investment in creation of fresh capacities, research and development (R&D) as well as upgradation of technology.

"India Inc is riding on the crest of the surging domestic demand," says Amit Mitra, secretary-general, Federation of Indian Chambers of Commerce and Industry (FICCI). The business confidence survey of FICCI shows the number of new projects increasing from 490 in December 2008 to 774 in March 2009 to 936 in December 2009. According to

